

Perhaps you heard me yelling for the exit three days later. I sold, and the order filled at 13.28. “Sell reason: Stock has made what looks like a tail. Time to sell before I give back more profit and the stock plunges.”

If you are familiar with candle patterns, the stock made a gravestone doji or shooting star. In non-candle terms, it was a tail or spike. The stock made a tall upward move but ended the day near the bottom of the trading range, right where it began. Often tails, if followed by a lower high the next day, mean price has peaked and will head lower for a few days (or longer). The key is, you have to wait to see if the price bar stands alone like a single tree atop a hill.

In this case, it didn't. The tail was buried in a forest. The stock continued higher for about another 2 weeks. I made 4% in 3 days, which isn't bad if I could annualize it (do that every 3 trading days for a year).

- Lesson: If a technical pattern unfolds (the tail in this case), wait for it to complete before trading.

If the stock had turned lower, then this would have been a terrific exit. Unfortunately, that didn't happen. Also, tails that shoot lower are more reliable than those that shoot upward.

- Lesson: Bullish tails (downward price spikes) work better than bearish ones (upward spikes).

Sample Trade

Not all chart pattern trades work as expected, and [Figure 29.6](#) shows an example. To be sure we are dealing with a valid Eve & Eve double bottom, let us run through the identification guidelines.

Is the price trending downward to the pattern? Yes. Although the figure shows a high in mid-January (B), the stock peaked back in mid-November 1999 (not shown).

Do both bottoms resemble an Eve bottom? The shape appears rounded in both bottoms. The left bottom comprises two minor lows, but if you exclude the first minor low (shown as point A), the Eve assessment does not change.